



BKM INDUSTRIES LIMITED

Policy on Related Party Transactions

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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- Companies Act, 2013, sections 2(76), 177 and 188, and Companies (Meetings of Board and its Powers) Rules, 2014
- SEBI Listing Regulations, regulation 23, including Schedule XII effective from December 2025
- SEBI circulars on minimum information and RPT Industry Standards
- Ind AS 24, applicable Secretarial Standards and disclosure requirements

STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

Current RPT approval matrix

A modification is material if it changes the approved value by 10% or more, individually or cumulatively, or changes the nature, parties, tenure, pricing basis, security, liability allocation or other commercial substance in a way that could affect the approving authority's decision. The Audit Committee may treat any other modification as material based on substance and minority-shareholder impact.

Last audited annual consolidated turnover	Material RPT threshold for Regulation 23 shareholder approval
Up to ₹20,000 crore	10% of annual consolidated turnover
> ₹20,000 crore and up to ₹40,000 crore	₹2,000 crore plus 5% of turnover above ₹20,000 crore
> ₹40,000 crore	₹3,000 crore plus 2.5% of turnover above ₹40,000 crore, subject to ₹5,000 crore cap

- All RPTs and subsequent material modifications require prior Audit Committee approval. Only independent-director members vote to approve where Regulation 23 so requires.
- For a subsidiary RPT where the listed entity is not a party, prior Audit Committee approval is required above ₹1 crore when the aggregate exceeds the lower of 10% of the subsidiary's last audited standalone turnover and the listed entity's Schedule XII threshold. If the subsidiary lacks one year of audited financials, use 10% of paid-up capital plus securities premium measured not more than three months earlier, compared with the Schedule XII threshold, and take the lower.
- For proposals above ₹1 crore, the minimum information pack shall follow the SEBI circular dated 13 October 2025. The RPT Industry Standards apply above the lower of 1% of annual consolidated turnover and ₹10 crore; Annexure 13A minimum information applies above ₹1 crore up to that level.
- Shareholder omnibus approval obtained at an AGM remains valid until the next AGM held within Companies Act timelines; approval at another general meeting is valid for no more than one year. Related parties must abstain from voting to the extent prescribed by Regulation 23.
- The Company Secretary shall maintain a dated internal threshold sheet for Regulation 23, Companies Act section 188/rule 15 and the information-pack tiers, using the financial statements and facts applicable when approval is sought.

Policy provisions

Preamble

BKM Industries Limited ("BKM" or the "Company") is committed to conducting its business in accordance with the highest standards of corporate governance, transparency, integrity and accountability.

Related Party Transactions are a normal part of business operations; however, such transactions may give rise to actual, potential or perceived conflicts of interest. Accordingly, the Company has adopted this Policy to ensure that such transactions are undertaken transparently, appropriately reviewed and approved, and are in the best interests of the Company and its stakeholders.

This Policy has been framed pursuant to the provisions of:

- Sections 177, 188 and other applicable provisions of the Companies Act, 2013;
- Companies (Meetings of Board and its Powers) Rules, 2014;
- Regulation 23 and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015;
- Applicable Indian Accounting Standards (Ind AS); and
- Such other statutory amendments, notifications, circulars and guidelines as may be applicable from time to time.

Objectives

The objectives of this Policy are to:

- Establish a robust framework for identifying Related Party Transactions.
- Ensure appropriate review, approval and monitoring of Related Party Transactions.
- Ensure that transactions are conducted on an arm's length basis and in the ordinary course of business wherever applicable.
- Prevent conflicts of interest and safeguard shareholder interests.
- Ensure transparency and compliance with applicable statutory and regulatory requirements.

- Promote ethical business conduct and good corporate governance practices.

Definitions

- Related Party

"Related Party" shall have the meaning assigned to it under:

- Section 2(76) of the Companies Act, 2013;
- Regulation 2(1)(zb) of the SEBI Listing Regulations;
- Applicable Accounting Standards,

as amended from time to time.

- Related Party Transaction ("RPT")

"Related Party Transaction" shall mean a transaction involving transfer of resources, services or obligations between:

- the Company or any of its subsidiaries on one hand and a Related Party of the Company or any of its subsidiaries on the other hand; or
- the Company or any of its subsidiaries on one hand and any other person or entity on the other hand, where the purpose and effect of the transaction is to benefit a Related Party of the Company or any of its subsidiaries,

regardless of whether a price is charged.

The term shall have the meaning prescribed under Regulation 2(1)(zc) of the SEBI Listing Regulations and Section 188 of the Companies Act, 2013.

- Arm's Length Basis

A transaction between two related parties conducted as if they were unrelated parties so that there is no conflict of interest and the terms are comparable to prevailing market conditions.

- Ordinary Course of Business

Transactions that are normal, routine, usual, necessary and incidental to the business activities of the Company.

- Material Related Party Transaction

"Material Related Party Transaction" means a Related Party Transaction which exceeds the materiality thresholds prescribed under Regulation 23 of the SEBI Listing Regulations or any other applicable law, as amended from time to time.

- Material Modification

"Material Modification" means any modification to an approved Related Party Transaction that, in the opinion of the Audit Committee, materially alters the nature, duration, scope, monetary value, pricing mechanism or commercial terms of the transaction.

The Audit Committee shall determine whether a modification is material on a case-to-case basis having regard to the facts and circumstances of the transaction.

- Relative

"Relative" shall have the meaning assigned under Section 2(77) of the Companies Act, 2013.

- Omnibus Approval

"Omnibus Approval" means an approval granted by the Audit Committee for repetitive Related Party Transactions in accordance with applicable law.

Any term not defined in this Policy shall have the meaning assigned to it under the Companies Act, 2013, the rules made thereunder, the SEBI Listing Regulations or any other applicable law, as amended from time to time.

Policy Framework

The Company shall ensure that:

- All Related Party Transactions are identified prior to execution.
- Appropriate approvals are obtained before entering into such transactions.
- Transactions are supported by valid commercial rationale.
- Transactions are documented adequately.
- Disclosures are made accurately and within prescribed timelines.

Identification Of Related Parties

The Company Secretary shall maintain an updated register/database of Related Parties based on:

- Disclosures received from Directors;
- Key Managerial Personnel;
- Promoters and Promoter Group entities;
- Senior Management Personnel;
- Statutory records and filings.

All concerned persons shall promptly inform the Company of any changes affecting their Related Party status.

Directors, Key Managerial Personnel and Senior Management Personnel shall provide disclosures of Related Parties and related interests in such form and at such periodic intervals as may be prescribed by the Company or applicable law and shall promptly notify any changes thereto.

Approval Of Related Party Transactions

- Audit Committee Approval

All Related Party Transactions and subsequent material modifications thereto shall require prior approval of the Audit Committee in accordance with the provisions of the Companies Act, 2013 and Regulation 23 of the SEBI Listing Regulations.

The Audit Committee may grant omnibus approvals for Related Party Transactions subject to compliance with applicable laws and regulations.

The Audit Committee shall evaluate:

- Business purpose and rationale;
- Commercial benefits to the Company;
- Arm's length nature;
- Ordinary course of business criteria;
- Pricing methodology;
- Potential conflict of interest;
- Impact on minority shareholders.
- Whether the transaction is in the best interests of the Company and its shareholders.

Only Independent Directors who are members of the Audit Committee shall approve Related Party Transactions where required under law.

A Related Party Transaction to which a subsidiary of the Company is a party, but the Company is not a party, shall require approval of the Audit Committee and/or shareholders of the Company where such approval is required under Regulation 23 of the SEBI Listing Regulations.

The Audit Committee may ratify Related Party Transactions in accordance with the provisions of the SEBI Listing Regulations and other applicable laws, subject to fulfilment of the conditions prescribed thereunder.

- Omnibus Approval by Audit Committee

The Audit Committee may grant omnibus approval for repetitive transactions subject to:

Criteria

- Repetitive nature of transactions;
- Operational necessity;
- Established pricing mechanism;
- Best interests of the Company.
- Omnibus Approval Shall Specify
- Name of Related Party;
- Nature of transaction;
- Tenure;
- Maximum transaction value;
- Pricing basis;
- Commercial terms;
- Any specific conditions.

Where transaction details cannot be foreseen, omnibus approval may be granted up to ₹1 crore per transaction or such amount as prescribed under applicable law.

Review

The Audit Committee shall review, at least on a quarterly basis, details of Related Party Transactions entered into pursuant to each omnibus approval granted.

Validity

Omnibus approvals shall remain valid for a maximum period of one year and require fresh approval thereafter.

Board Approval

Board approval shall be obtained for Related Party Transactions wherever required under Section 188 of the Companies Act, 2013.

Interested Directors shall:

- disclose their interest;
- abstain from discussion;
- not vote on the relevant resolution.

Board approval shall not be required where exemptions are available under applicable law.

Shareholders' Approval

Prior approval of shareholders shall be obtained wherever required under:

- Regulation 23 of SEBI Listing Regulations;
- Section 188 of the Companies Act, 2013;
- Any other applicable legal requirement.

All Material Related Party Transactions and material modifications thereto shall require prior shareholder approval.

The materiality thresholds for shareholder approval shall be determined in accordance with Regulation 23 of the SEBI Listing Regulations, as amended from time to time.

Related Parties shall abstain from voting where required by law.

Voting On Related Party Transactions

Audit Committee

Only those members of the Audit Committee who are Independent Directors shall approve Related Party Transactions wherever required under applicable law.

Board of Directors

Any Director interested in a Related Party Transaction shall not participate in discussions and shall abstain from voting on the relevant matter.

- Shareholders

All Related Parties shall abstain from voting on resolutions approving Related Party Transactions to the extent required under applicable laws and regulations.

Transactions Involving Subsidiaries

The provisions relating to Related Party Transactions involving subsidiaries shall be governed by Regulation 23 of the SEBI Listing Regulations as amended from time to time.

The Company shall ensure adequate oversight of Related Party Transactions entered into by its subsidiaries.

Information To Be Placed Before Approving Authority

The Company shall place before the Audit Committee, Board of Directors and Shareholders, as applicable, all information required under the Companies Act, 2013, the SEBI Listing Regulations and applicable regulatory circulars for consideration of Related Party Transactions.

Transactions Exempt From Separate Approval Under This Policy

Subject to applicable law, separate approval under this Policy shall not be required for:

- Director remuneration, sitting fees and commission approved under applicable provisions.
- Remuneration payable to KMPs and Senior Management approved by competent authority.
- Preferential issue of securities complying with SEBI regulations.
- Dividend payments.
- Bonus issues.
- Rights issues.
- Stock splits or consolidation of securities.

- Buy-back of securities.
- Transactions entered into between the Company and its wholly owned subsidiary whose accounts are consolidated with the Company and placed before the shareholders as required under applicable law.
- Transactions between wholly owned subsidiaries whose accounts are consolidated with the Company.
- Statutory payments, duties, taxes, fees and levies.
- Corporate restructuring transactions approved under applicable law.
- CSR contributions approved by the Board.
- Retail transactions with Directors or employees on terms uniformly applicable to all employees.
- Transactions entered into between the Company and the Central Government, State Government or any combination thereof, where exemptions are available under applicable laws.

Ratification Of Transactions

Where any Related Party Transaction is entered into without obtaining prior approval due to inadvertent omission or exceptional circumstances, the transaction shall be placed before the Audit Committee, Board or Shareholders, as applicable, for ratification within the timelines prescribed under applicable law.

The competent authority may:

- ratify;
- modify;
- rescind; or
- require termination

of such transaction.

Disclosures

The Company shall make disclosures relating to Related Party Transactions in accordance with:

- Companies Act, 2013;
- SEBI Listing Regulations;
- Applicable Accounting Standards;
- Secretarial Standards;
- SEBI Circulars and Guidance Notes.

This Policy shall be available on the website of the Company and a web-link thereto shall be disclosed in the Annual Report in accordance with applicable law.

Roles And Responsibilities

Audit Committee

- Review and approve RPTs.
- Grant omnibus approvals.
- Monitor compliance.
- Recommend amendments to the Policy.

Board of Directors

- Provide oversight.

- Approve transactions where required.
- Review material RPT framework periodically.

Company Secretary

- Maintain RPT records and database.
- Ensure statutory compliance.
- Facilitate approvals and disclosures.
- Monitor regulatory developments.

Interpretation

Any question relating to interpretation of this Policy shall be referred to the Audit Committee and the Board.

In case of any conflict between this Policy and applicable law, the provisions of law shall prevail.

Any subsequent amendment or modification in applicable laws shall be appropriately incorporated in this Policy at the next review, provided that the applicable legal provisions shall prevail until such incorporation.

In the event of any ambiguity in the interpretation of this Policy, the decision of the Audit Committee shall be final, subject to applicable law.

Review And Amendment

This Policy shall be reviewed annually by the Audit Committee and Board of Directors or earlier if necessitated by statutory amendments, regulatory requirements or business considerations.

The Board reserves the right to amend, modify, suspend or replace this Policy at any time.

Thresholds For Material Related Party Transactions

The thresholds for obtaining approvals under the Companies Act, 2013 and SEBI Listing Regulations shall be those prescribed under applicable law and amended from time to time.

For the purpose of interpretation and implementation of this Policy, the Company shall apply the thresholds prevailing on the date of entering into the transaction.

The Company Secretary shall maintain and periodically update an internal statutory threshold matrix for operational compliance.

Governance, monitoring and records

- Policy owner: Company Secretary & Compliance Officer. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed at least once every three years, and earlier if required and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors on recommendation of Audit Committee unless a law permits a delegated, non-substantive update.

After approval, the Company shall place the Policy or the required disclosure/web-link on its website and in corporate reports to the extent mandated by applicable law. Only the approved controlled copy may be published.